

FRVO

FRVO N/A

Buy **\$30.66** ▼ **3.49%** 12M Price Target **\$42.00** 52-Week Range **\$30.01 – \$42.65** Market Cap **\$9.03B**

FRVO: Geothermal Meets AI Power Crunch — Buy The Dip

WHAT HAPPENED

- FRVO is sitting at the absolute bottom of its 52-week range (\$30.66, just 5% off the low) despite genuinely good news — the Nvidia + Pacific Northwest National Lab partnership on a geothermal "digital twin" (basically an AI simulation of their underground reservoirs that helps them drill smarter) dropped last week, and RBC reaffirmed the Utah project is on track to deliver first 33 megawatts. So why is it falling? Likely the earnings miss from June 22 is still being digested, plus tiny volume today (545K vs 5M yesterday) suggests this is more drift than conviction selling.
- The bigger backdrop: Bloomberg is running stories about AI's energy crunch driving investors to hunt for "next IPO winners" — FRVO IS that story, but the market hasn't connected the dots yet because they whiffed on the quarter.

WHY IT MATTERS

Here's the disconnect to think about: the market is punishing FRVO for a near-term earnings miss while simultaneously the strategic narrative is getting STRONGER (Nvidia partnership, AI power demand exploding, hyperscalers signing 24/7 clean power deals). That's usually the setup for a good entry — when business momentum is improving but the stock price is reflecting old news. The options flow backs this up: a 0.40 put/call ratio with 83 calls vs 33 puts means smart money is positioning for upside, not hedging for disaster. What to watch: if the Utah project hits its 33 MW milestone on schedule this fall, this story re-rates fast because it proves they can actually execute commercially, not just in pilots.

POLICY & POLITICAL WATCH

Geothermal is one of the rare energy categories with genuine bipartisan support — Republicans like it because it's domestic drilling tech (uses oil & gas workers and rigs), Democrats like it because it's zero-carbon baseload. The Inflation Reduction Act's clean energy tax credits (the 45Y and 48E credits, worth ~30-50% of project costs) are the big thing to watch — there's ongoing Congressional debate about which IRA credits get trimmed in budget negotiations, but geothermal has so far been on the "protected" list because of GOP support in Western states like Utah and Nevada where FRVO operates. Also watch the FERC permitting reform conversation — faster federal land permitting would be a direct accelerant for FRVO's project pipeline.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$30.66
12M Price Target	\$42.00
Upside / (Downside)	+37.0%
Market Cap	\$9.03B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$36.00	\$33.00	\$28.00
6 Months	\$45.00	\$38.00	\$26.00
1 Year	\$55.00	\$42.00	\$24.00
2 Years	\$75.00	\$55.00	\$22.00
5 Years	\$130.00	\$80.00	\$18.00
10 Years	\$250.00	\$140.00	\$12.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2% today, +2.8% this week) and Industrials are leading — money is flowing into anything connected to the AI buildout, and the policy backdrop (CHIPS Act money still deploying, AI infrastructure being treated as national security) keeps the tailwind blowing.

COOLING OFF: Energy is flat-to-down (-1.6% over five days) — traditional oil & gas is losing relative appeal as oil prices stabilize and the growth story shifts to electricity, not hydrocarbons.

ROTATION WATCH: The interesting trade is money rotating from traditional energy into "electrification" plays — utilities, grid infrastructure, and next-gen power generation. FRVO sits in a weird spot: it's classified as energy but acts like a tech-adjacent infrastructure name. That confused identity is part of why it's underperforming — but once Wall Street recategorizes it as "AI power infrastructure," the multiple expands.

RELATED PLAY: If you believe the AI power thesis, look at the picks-and-shovels: grid component makers (GEV, ETN), and uranium/nuclear names (CCJ, OKLO) — they're all playing the same theme that data centers need 24/7 clean baseload.

WHO'S WINNING IN THIS SPACE?

- **GEV (GE Vernova):** Power equipment maker riding the same AI data center power demand thesis — but it's a profitable mega-cap, so it gets credit FRVO doesn't yet.
- **NVDA (Nvidia):** Still the king of the AI trade, and notably they chose FRVO as their geothermal partner — that's a quiet endorsement that the market hasn't fully priced in.

FRVO CONTEXT: FRVO is badly lagging the AI-power complex — peers are up, FRVO is at 52-week lows. That's either a screaming setup (everyone else got bid up, FRVO is the last cheap way to play the theme) or a warning that the market knows something specific is wrong with the business. Given the Nvidia partnership and RBC's confirmation on Cape Station, I lean toward "setup," but you need to size the position knowing the market disagrees with you right now.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$28-31 — we're basically there

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station Utah project delays beyond Q4 2026, or geothermal tax credits get repealed

Hedging: Pair with a short on a richer-multiple clean energy name or buy puts on XLE if energy sector rolls over